## 2. Provision of Licencing

One of the most important developments of independent India, the provision of compulsory licencing for industries, was cemented in this policy. All the Schedule B industries and a number of Schedule C industries came under this proivision. This provision established the so-called ***'Licence-Quota-Permit'*** regime (***raj***) in the economy.[9]

## 3. Expansion of the Public Sector

Expansion of the Public Sector was pledged for the accelerated industrialisation and growth in the economy—glorification of the government companies did start with this policy. The emphasis was on heavy industries.

## 4. Regional Disparity

To tackle the widening **regional disparity,** the policy committed to set up the upcoming PSUs in the comparatively backward and underdeveloped regions/areas in the economy[10].

## 5. Emphasis on Small Industries

Emphasis committed on small industries as well as the khadi and village industries.

## 6. Agriculture Sector

**A**griculture sector was pledged as a priority.

## Importance

This is considered as the most important industrial policy of India by the experts as it decided not only the industrial expansion but structured the very nature and scope of the economy till 1991 with minor modifications. All the industrial policies were nothing but minor modifications in it except the New Industrial Policy of 1991 which affected deeper and structural